



United States
Attorney's Office
Western District of Texas



Austin Pain Management Doctor and Pain Medicine Practice to Pay \$13,625,000 to Settle Civil False Claims Act Allegations

Thursday, December 18, 2025

For Immediate Release

U.S. Attorney's Office, Western District of Texas

AUSTIN, Texas – Dr. Mark Malone, Advanced Pain Care, and related entities have agreed to pay the United States and the State of Texas \$13,625,000 to resolve allegations they submitted false claims for urine drug testing to federal and state healthcare programs. The United States will receive \$13,590,544.88 and Texas will receive \$34,455.12.

Advanced Pain Care is an interventional pain medicine practice with locations in and around Austin, Amarillo, Waco, and Houston. Dr. Malone is a pain management doctor and the founder of Advanced Pain Care. The Advanced Pain Care entities that are parties to the settlement include Mark Malone M.D., P.A., Round Rock Surgery Center, LLC, APC-Amarillo Surgical Operating Company, LLC, Killeen Surgical Operating Company, LLC, Waco Surgical Operating Company, LLC, Southwest Surgical Operating Company, LLC, Shoal Creek Pharmacy Operations, LLC, Palo Duro Pharmacy Operations, LLC, APC Pharmacy, LLC, Advanced Anesthesiology, Advanced Health Holdings, LLC, Advanced RX Pharmacy, APC Investments LLC, APC360 LLC, 6000 South Mopac APC LLC, MMJ Partners, LP, and MMC Holdco, LLC.

The United States alleged that Dr. Malone and Advanced Pain Care knowingly submitted false claims to Medicare, Medicaid, TRICARE, and the Federal Employees Health Benefits Program for concurrent presumptive and definitive urine drug testing for the same patient on the same date of service, without reviewing the results of the presumptive test to determine whether a definitive test was medically necessary. The United States also alleged that Dr. Malone and Advanced Pain Care knowingly submitted false claims to the Department of Veterans Affairs for definitive drug testing using separate Current Procedural Terminology (CPT) codes for individual analytes (i.e., CPT series 803XX) for dates of service between January 3, 2017, and December 31, 2021.

"'First, do no harm,' it's one of the main charges in the oath traditionally taken by those blessed with the responsibility of providing medical care to their neighbors," said U.S. Attorney Justin R. Simmons for the Western District of Texas. "Some, like Dr. Malone, instead cause harm by submitting false claims for procedures, thereby enriching themselves to the detriment of the American taxpayer. These settlements demonstrate my office's commitment to protect the healthcare programs on which the American people have come to rely. We will continue to work with our law enforcement partners to ensure that providers are held accountable for false claims violations and the public fisc is protected."

Contemporaneous with the civil settlement, Advanced Pain Care entered into a five-year Corporate Integrity Agreement (CIA) with the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG). Under the CIA, Advanced Pain Care must maintain a compliance program, implement a risk assessment process, and hire an Independent Review Organization (IRO) to review its claims.

"When health care professionals submit false claims to federal programs, they erode public trust and divert taxpayer-funded resources away from individuals who truly need care," said Special Agent in Charge Jason E. Meadows of the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG). "This settlement underscores our steadfast commitment to safeguarding taxpayer dollars and collaborating with our law enforcement partners to hold accountable those who defraud the American people."

"The Defense Criminal Investigative Service (DCIS) will tirelessly pursue allegations of fraud and corruption, bringing to justice those who seek to enrich themselves through exploitation of TRICARE, the U.S. Military's health benefit program," said Chad Gosch, Special Agent in Charge of the Department of Defense Office of Inspector General, DCIS Southwest Field Office. "This outcome is a testament to the commitment of DCIS and our law enforcement partners in safeguarding the integrity of this nation's healthcare system."

"Health care providers and practices who knowingly submit false claims must be held accountable," said Special Agent in Charge Derek M. Holt of the U.S. Office of Personnel Management Office of the Inspector General. "We are grateful to our law enforcement partners for their work to protect the integrity of federal healthcare programs, including the Federal Employees Health Benefits Program."

"This civil settlement is a testament to the VA OIG's commitment to safeguarding the integrity of VA's healthcare programs and preserving taxpayer funds," said Special Agent in Charge Kris Raper with the Department of Veterans Affairs Office of Inspector General's South-Central Field Office. "The VA OIG thanks the U.S. Attorney's Office for their efforts in this case."

The settlement resolves claims brought against Dr. Malone and Advanced Pain Care in five separate lawsuits filed under the *qui tam* provisions of the federal False Claims Act and the Texas Health Care Program Fraud Prevention Act:

1. *United States ex rel. Lawlor v. Dr. Mark Malone et al.*, Civil Action No. 5:15-CV-60;
2. *United States and Texas ex rel. Mack v. Mark Malone, M.D., P.A., d/b/a Advanced Pain Care, et al.*, Civil Action No. 1:20-CV-215;

3. *United States and Texas ex rel. Nuessner et al. v. Mark Malone M.D., P.A. d/b/a Advanced Pain Care, et al.*, Civil Action No. 1:21-CV-257; and
4. *United States and Texas ex rel. APC, LLP v. Advanced Pain Care, Inc., et al.*, Civil Action No. 5:23-CV-1106; and
5. *United States and Texas ex rel. [Redacted] v. [Redacted]*, Civil Action No. 1:23-CV-1410 (Under Seal).

The Department of Health and Human Services Office of Inspector General, DoD Office of Inspector General Defense Criminal Investigative Service, Office of Personnel Management Office of Inspector General, and Department of Veterans Affairs Office of Inspector General participated in the investigation of this matter. Assistant U.S. Attorney Thomas Parnham negotiated the settlement on behalf of the government.

The claims resolved by the settlement are allegations only and there has been no determination of liability.

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Contact

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Updated December 18, 2025

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